

3.4 How to use the formula for break-even as an aid to decision making

□ Definition of break-even = the level of output where total revenue = total costs □ Formula for break-even quantity$\frac{\text{fixed costs}}{\text{selling price per unit} - \text{variable cost per unit}}$ □ Interpretation of a break-even graph to identify the break-even point □ How break-even information is used by an entrepreneur	To include: • Break-even calculations • Rearranging the break-even quantity formula to find a missing number, for instance the selling price per unit Guidance: • Students will not be expected to recall the break-even quantity formula • Students will not be expected to draw a break-even graph but may be asked to interpret a break-even graph or complete a partially completed graph • Contribution will not be assessed
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